# Research Evolution: Microsoft Corporation

Edition A baseline to Edition B valuation conclusion | NASDAQ: MSFT | USD, amounts in millions unless stated

Edition A prepared Sep 1, 2026 (first Git-frozen Sep 3, 2026, commit 861e227) | Edition B evidence through Sep 29, 2026

**FINAL POSITION: WATCH / DEFER.** The recommendation did not change from Edition A. What changed is the quality and amount of evidence behind it. The valuation supports a conditional view, not a point estimate or a recommendation to buy immediately.

| $541.74 | $435.11 – $556.30 | $495.71 |
|---|---|---|
| FCFF DCF value per diluted share | Peer P/E implied range (Sep 1, 2026 prices) | Peer P/E median reference |

The two methods are not averaged because they use different inputs and have different limitations. The principal condition for a more favorable call is evidence that AI-infrastructure capital spending can normalize without impairing cloud growth, margins, or cash conversion.

## 1. Edition A: Frozen Baseline

**Original decision:** Decide whether an investment committee should begin full fundamental valuation of Microsoft and, after that work, decide whether to initiate an equity position.

**Initial thesis (Watch / defer):** Microsoft merited full valuation work because FY2026 results showed cloud-led growth and a large contracted-revenue base. There was no intrinsic-value range, market-price comparison, normalized free-cash-flow forecast, or explicit analysis of AI-infrastructure capital intensity. The initial conclusion was an admission decision for research, not an investment recommendation.

### Known facts at the baseline date

| Item | FY2026 baseline fact | Source locator |
|---|---|---|
| Revenue | $331,839m; up 18% from FY2025 | FY2026 Form 10-K, Consolidated Statements of Income and MD&A |
| Operating income | $155,237m | FY2026 Form 10-K, Consolidated Statements of Income |
| Cash and short-term investments | $76,843m at June 30, 2026 | FY2026 Form 10-K, Balance Sheets |
| Total debt | $40,294m | FY2026 Form 10-K, Balance Sheets and Note 10 |
| Diluted weighted-average shares | 7,453m for FY2026 | FY2026 Form 10-K, earnings-per-share note |
| Azure and other cloud-services growth | 41% | FY2026 Form 10-K, Item 7 MD&A |
| Commercial RPO | Up 84% to $678bn | FY2026 Form 10-K, Item 7 MD&A |

### Initial assumptions and uncertainties

- The FY2026 Form 10-K was the appropriate primary baseline as of September 1, 2026.

- Debt began at the June 30, 2026 carrying amount, subject to later review of other debt-like items.
- Cash and short-term investments required an operating-cash assessment before any amount could be added to equity value.
- Azure growth and RPO were useful indicators, but did not prove durable margin, free-cash-flow, or valuation support.
- **Central unresolved question:** whether AI-infrastructure spending would absorb cash flow and pressure margins faster than cloud growth could create durable per-share value.

### Baseline research plan

A historical operating model, a revenue-to-FCFF bridge, explicit revenue/margin/reinvestment assumptions, a documented enterprise-to-equity bridge, peer comparison, reverse DCF, and tests of cloud growth, margin, and capital-intensity reversal conditions.

## 2. Edition B: Post-Research Valuation Brief

### What was completed

| Workstream | Result | What it added |
|---|---|---|
| Five-year FCFF DCF and reverse DCF | $541.74 per diluted share; base WACC 8.0%; terminal growth 3.5% | An explicit intrinsic-value estimate and a record of the growth path implied by the comparison price. |
| Peer P/E comparison | $435.11 – $556.30 implied range; $495.71 median reference | A market-based cross-check using Oracle and qualified Alphabet comparability evidence. |
| Five-year pro-forma | Linked three-statement FCFE model with balance-sheet checks | A cash-last model of revenue, margins, PP&E, depreciation, cash, and FCFE. |
| One-at-a-time sensitivity | Revenue growth changed operating profit most; AI/cloud capex intensity changed FCFE and value most over the tested ranges | A quantified test of the central AI-capex risk rather than a qualitative warning alone. |

### Valuation evidence and limitations

| Method | Result and date | Main limitation |
|---|---|---|
| FCFF DCF | $541.74 per share; Sep 10, 2026 calculation | Depends on FCFF growth, capex normalization, 8.0% WACC, 3.5% terminal growth, and cash/debt treatment. |
| Peer P/E | $435.11 – $556.30; Sep 1, 2026 prices and annual GAAP EPS | Oracle and Alphabet have non-identical business mixes and fiscal year-ends. Alphabet is advertising-dominant and therefore qualified rather than a direct peer. |
| Pro-forma FCFE | $238.72 per diluted share in the Lab 11 base model | Simplified FCFE model with a different cash-flow definition and discount-rate convention. Not averaged with the FCFF DCF. |

### Key sensitivity evidence

| Output (FY2031E where applicable) | Revenue-growth span | AI/cloud-capex-intensity span | Interpretation |
|---|---|---|---|
| Operating profit | **$48,015.6m** | $0.0m | Revenue growth produces the larger operating-profit span over these stated ranges. |
| FCFE | $16,831.4m | **$38,525.6m** | Capex intensity produces the larger cash-flow span because it directly changes reinvestment. |
| Value per diluted share | $21.12 | **$64.37** | Capex intensity produces the larger value span over these ranges. Not a probability statement or a universal driver ranking. |

## 3. Edition A to Edition B Change Record

| Question | Edition A | Edition B | What changed and why |
|---|---|---|---|
| Investment stance | Watch / defer pending valuation work | Watch / defer, now conditional and valuation-informed | No material change in the recommendation. The basis changed from an incomplete research screen to a valuation conclusion with stated conditions. |
| Intrinsic value | No per-share value claimed | FCFF DCF: $541.74/share | Completed a five-year FCFF forecast, enterprise-to-equity bridge, and WACC/terminal-growth sensitivity. |
| Market cross-check | No peer comparison | P/E: $435.11 – $556.30; median $495.71 | Selected and qualified peers based on recurring enterprise/cloud economics and annual GAAP EPS. |
| AI-infrastructure risk | Qualitative concern about capex, margin, and cash-flow conversion | Quantified: $64.37 value span over stated capex-intensity ranges | Built capex through PP&E, depreciation, cash, FCFE, and value in the linked model. |
| What could reverse the view | Unspecified next-earnings evidence on data-center spending and future profit | Cloud growth, margin recovery, capex normalization, and normalized enterprise-cloud peer comparison | Converted the open question into observable monitoring conditions. |

## 4. Primary Driver and Supporting Tests

**Primary driver of the change: coursework and personal analysis.** The work moved from an initial filing-based thesis to modeled valuations, peer-policy analysis, a three-statement pro-forma, and sensitivity tests. AI-assisted drafting is separately disclosed in the project validation record; source facts and calculations should be checked against the filing, committed code, and executed outputs.

| Test or evidence | What it tested | Result |
|---|---|---|
| FY2026 Form 10-K and MD&A | Baseline revenue, debt, cash, diluted shares, cloud growth, RPO, margin pressure, and infrastructure investment | Supported the initial thesis and identified capex normalization as the key evidence question. |

| Test or evidence | What it tested | Result |
|---|---|---|
| DCF sensitivity and reverse DCF | WACC, terminal growth, and growth expectations embedded in price | Showed the DCF is sensitive to cash-flow recovery, discounting, and terminal assumptions. |
| Peer P/E leave-one-out | Whether one higher-multiple qualified peer drives the reference value | Removing Alphabet left Oracle's $435.11 reference, $60.60 below the two-peer median. |
| Pro-forma accounting checks | Whether forecast balance sheets balance and cash remains above the floor | Base and usable sensitivity scenarios recorded zero balance-sheet gaps and no revolver draw. |
| Locked changed-input sensitivity test | Effect of changing one independent assumption at a time | Confirmed the capex range produces the larger FCFE and value span over the selected ranges. |

## 5. Conditional Conclusion and Next Evidence

**WATCH / DEFER.** Initiate only if updated results support capex normalization while cloud growth and margins remain consistent with the cash-flow path, *and* a consistently normalized enterprise-cloud peer comparison supports value above the market price. Otherwise, continue to watch/defer.

**Monitor next** (the facts most likely to change the valuation conclusion):

- Quarterly AI-infrastructure capital expenditure as a percentage of revenue
- Cloud growth
- Cloud-margin recovery

## 6. Source and Reproducibility Index

| Item | Location |
|---|---|
| Edition A source (first frozen in commit 861e227) | research/reports/2026-09-01-initial-research.md |
| Reverse-DCF report | research/reports/2026-09-10-msft-reverse-dcf.md |
| Peer-P/E triangulation | research/reports/2026-09-17-msft-pe-triangulation-lab.md |
| Pro-forma assumptions | research/reports/2026-09-24-lab-10-msft-history-and-assumptions.md |
| Sensitivity output and validation | research/lab-11-sensitivity/lab-11-submission.md<br>research/lab-11-sensitivity/validation-check.md |
| Primary filing | sources/filings/MSFT-FY2026-10-K.pdf |